To what extent does herd behaviour among retail investors on platforms like Zerodha and Groww contribute to stock market volatility in India?

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ABSTRACT

Indian retail investors have been increasingly active in the last few years largely due to the emergence of digital brokerage firms such as Zerodha and Groww. These platforms are beneficial to use as they decrease the costs of investment and simplify the process of trading. Meanwhile, social media, financial influencers and online communities have begun to influence the decision of many investors. Instead of relying solely on fundamentals, retail investors now use market trends and mimic the actions of other market players, also referred to as herd behaviour.

This behaviour can boost price swings and possibly worsen market volatility, particularly when there is uncertainty and sentiments running hot. However, stock market volatility is not homogenous and is also affected by institutional trading, macro-economic factors and global events.

The paper will try to understand the extent to which the herd behaviour of the retail investors on Zerodha and Groww influences stock market volatility in India. It also delves into the causes of this behaviour, the patterns it exhibits in market movements and the role that digital platforms as well as social media have on investor sentiment. Herd behaviour by retail investors is overall concluded to meaningfully add to the volatility at the short end, but not the only strand on the Indian capital market that affects the price movements of the stock (Shiller, 2000).

1. INTRODUCTION

Perhaps the greatest tabulation changes in the Indian stock market in the past decade are driven by the presence of retail investors in much larger numbers. Investing in stock markets used to be reserved for institutional investors and the rich classes who has financial expertise and ability to pay for additional trading costs. Now, with the arrival of e-trading platforms, investing is easier for the common man. For instance, Zerodha and Groww have made the process of opening an account easier, reduced the brokerage and paved the way to ease the hassle for investors to buy and sell securities literally via their mobile apps. Hence, there are so many new investors who have come to the front of the market, particularly after the outbreak of COVID-19 pandemic.

It has pretty much revolutionized the make-up of the Indian capital market with greater retail participation. A high percentage of traders are now young investors, first time traders and the ones with an average degree of financial knowledge. At the same time, however, this greater engagement has led to greater flow of funds available in a market, furthering the ability of people to participate and extending financial access but it has also raised fresh concerns in regard to investor behaviour and market stability.

Under herd behaviour, the investors follow other investments without stating any view on a thing first hand. There can be multiple reasons why one decides to purchase a particular share. The price of the stock appears to be increasing and/or they feel that it is a popular stock. On the other hand, a rise in doubt, as can occur, may lead to panic and concern triggering the liquidation event in the group at the same time. Similarly, if there's additional doubt, large groups may end up scorning at similar times because of worry and even concern. These can become more common, leading to price volatility and swings.

Other factors such as a rise in financial content creators have influenced investor behaviour a little bit too. When it comes to sharing information, it happens rapidly through YouTube channels, Telegram, WhatsApp and other social media platforms. Often referred to as 'fin-fluencers', financial influencers have become a significant source of information for many retail investors. While these channels have increased awareness and ease of investing, they have also increased ease of just repeating the crowd's noise.

This paper ultimately aims to answer the following research question:

How much do retail investors contribute to the volatility of the Indian stock market, when it comes to platforms like Zerodha or Groww?

The paper essentially claims that herd psychology of retail investors fuels volatility in the markets, particularly in those 'corners' and in the small cap category in particular. However, volatility should not be entirely attributed to retail investors as institutional participation, overall economic growth and sentiment/mood appear to have a significant impact too. The paper makes attempts to analyse the retail investor behaviour with the help of theoretical discussion, empirical indicators and Indian illustrations to provide a balanced analysis for how retail investor behaviour relates to market volatility in India.

2. HERD BEHAVIOUR AND THE STOCK MARKET VOLATILITY

2.1 Do Bubbles Exist?

In finance markets, investors sometimes assume that other people have a better understanding of the market and start imitating them. As a result, a lot of investors purchase and/or sell the very same stocks at the very same time, without having taken the time to re-think their situation.

There are a number of factors which encourage this behaviour. Capitalists are concerned with falling behind the curve in the event they see stock prices rise rapidly. On the other hand, they can also feel overwhelmed and act quickly to try and sell their portfolio if they see others doing it too. Also, if the facts are incomplete, or if they are difficult to read, people stick with the majority, as they believe that it gives them useful signals, a consistency in group action. Thus, collectively, people get the wrong idea about stocks and as a result, stocks trade off their fundamental value and not because the actual economy is bad (Banerjee, 1992).

2.2 Factors behind herding by retail investors.

Retail investors are more likely to succumb to the herd mentality due to lack of experience and information. When investors enter the market for the first time, they don't have a clear understanding of financial analysis and frequently listen to what they read in news articles, social media, friends, influencers or even from a simple comment, generally without double checking.

Fear of missing out is another significant factor. Some investors do not buy into a company not because their research says so but because someone else is making money. Taking that as proof, they optimistically buy them, further driving prices up. Likewise, broad selling can be triggered by negative headlines and enough pressure can be generated to turn fear into herd behaviour and all market takers simultaneously act out of fear. However, emotion is often more compelling than reason and hot trading patterns can be extreme prices.

2.3 Understanding Market Volatility

Market volatility is simply the degree of stock price ‘bounce’ over time. The ‘high volatility’ typically indicates that prices are making substantial movements and they tend to do it frequently. In conditions of low volatility, the market is even more 'predictable'. Volatility is usual in these markets because prices adapt to new information.

However, too much volatility can be a source of uncertainty and could increase the risk. Rapid ups and downs give birth to speculations, panic and possible financial losses. It is hence, very important to understand what causes volatility in order to escape the harm it may bring along.

While the economic indicators, company results and world events all influence volatility, the behaviour of investors is important too. When many people invest in the market and then move out together, it can skew prices to the extreme and create temporary demand/supply imbalances. Due to this, herd behaviour has become a significant aspect of behavioural finance which helps to explain why markets experience excessive one-way moves that are not entirely explainable by fundamentals alone (Shiller, 2000).

3. GROWTH AND DIGITIZATION OF THE TRADING PROCESS IN INDIA.

3.1 Rise of Retail Participation.

Since COVID-19, the retail sector in India has grown rapidly. Many gave more thought to investment opportunities during the lockdown because previous means were not giving them the same return and the utilisation of digital instruments was increasing. Meanwhile, there was a growing familiarity with the financial markets and online trading access was made more readily available, attracting younger investors to the market.

Demat Account Growth in India (FY2011-24):

Source: NSDL and CDSL, reproduced from Moneycontrol, 2024.

The number of demat accounts in India has experienced a significant surge, demonstrating the increasing appetite for stock market investments. Students, those who have salaried jobs and even smaller investors are participating and they are doing active involvement in the equity market. This has boosted the liquidity and diversification in the market.

3.2 Zerodha and Groww as Market Enablers

One of the biggest factors contributing to retail investing growth has been the introduction of discount brokerages in India. Trading platforms such as Zerodha and Groww have revolutionised the way people have approached the stock market with lower trading fees. Investors do not have to go through the traditional brokerage process and can open accounts online, constantly monitor the rates of shares and effectively trade using their mobile phones.

As you can see our Groww and Zerodha are acquiring a ton of new users in a blink instance.

Exhibit 4: Number of active clients of brokerages, March fiscal year-ends, 2019-26 (#)

	2019	2020	2021	2022	2023	2024	2025	2026
Groww			780,570	3,847,955	5,988,584	9,538,609	12,921,210	12,939,127
Zerodha	909,008	1,414,389	3,602,074	6,277,434	6,324,623	7,287,148	7,888,964	6,893,753
Angel Broking	412,809	576,414	1,564,667	3,657,550	4,554,559	6,111,879	7,577,878	6,762,906
ICICI Securities	843,975	1,075,956	1,580,233	3,031,192	2,005,773	1,845,202	1,946,882	2,087,410
Upstox (RKSV Securities)	99,546	619,305	2,141,095	5,215,523	2,145,881	2,516,647	2,747,330	1,987,928
HDFC Securities	672,044	720,150	957,085	1,141,264	1,016,493	1,097,747	1,525,058	1,391,568
Kotak Securities	437,822	571,806	743,206	1,256,001	953,734	1,208,948	1,484,038	1,382,817
SBICAP Securities	209,301	249,924	329,099	635,384	598,237	863,824	981,477	1,163,930
Dhan			528	32,388	192,758	469,961	971,760	1,037,032
Motilal Oswal Securities	319,138	377,123	564,034	896,851	776,919	879,629	1,014,875	901,790
Paytm Money		NA	85,827	404,376	660,055	802,146	664,294	876,693
INDMoney						343,505	836,353	693,310
Sharekhan	509,787	549,778	679,333	764,250	647,062	664,853	663,269	531,949
Axis Securities	419,455	270,462	454,882	422,358	328,513	363,904	419,513	430,101
IIFL Securities	215,775	218,877	291,730	1,132,766	443,967	439,137	442,438	342,801
5Paisa Capital	106,280	434,036	870,405	1,754,330	516,236	549,047	422,518	334,970
Mirae					142,060	352,937	518,180	245,773
PhonePe							355,026	222,147
Geojit Financial Services	162,789	163,742	201,206	234,546	232,652	243,714	246,674	217,100
Fyers			35,963	124,152	190,643	222,798	238,340	201,159
Edelweiss Broking	120,132	130,215	157,254	193,041	188,474	173,589	165,781	141,680
Religare Broking Limited	159,030	111,652	132,939	165,416	133,869	143,983	146,307	137,433
JM Financial Services	35,903	39,869	48,998	57,737	66,221	96,411	121,619	114,629
Bajaj Financial Securities Ltd			-	85,649	43,870	31,800	49,243	59,945
Reliance Securities	120,227	119,321	117,307	107,201	81,513	72,976	63,418	49,438
NJ India Invest	15,146	25,445	48,200	74,351	64,312	78,447	86,220	
Karvy Stock Broking	266,287	243,256						
Others	2,747,753	2,883,940	4,287,767	8,371,260	9,629,303	13,900,576	17,624,155	17,504,516
Overall	**8,782,207**	**10,795,660**	**18,893,832**	**36,035,020**	**31,937,727**	**40,760,808**	**49,201,610**	**45,712,778**

Source: NSE, Kotak Institutional Equities

Source: NSE and Kotak Institutional Equities, reproduced from Business Today, 2026.

3.3 Daily investment trends via social media.

Many people who were previously not aware of the nitty-gritty of the stock markets now get frequent updates, educational videos and other investment tips via social media. This speed and volume of information can promote herd behaviour. Positive information tends to provoke excitement and optimism which generates mindless stock trade in large volumes and negative information can cause fear which can trigger panic selling.

The problem is that there is not all information on the internet is reliable. Retail investors may find themselves gambling on rumours without bothering to do the due research on the actual fundamentals. Since millions of investors are being hit with the identical subject material, they typically function in the same process of comparison and this is magnified by the overall price range fluctuations.

Social media has undoubtedly altered the entire approach to investing. Currently, understanding investor sentiment and collective behaviour is crucial to deal with price tremors.

4. WHY RETAIL INVESTORS EXHIBIT HERD BEHAVIOUR

4.1 Investor Sentiment

One of the many reasons for herd behaviour is the fear of missing out or ‘FOMO’. When investors see others getting money, they feel left behind. This generally results in a ‘wait-and-see’ attitude and entices a lot more investors to purchase the exact same stocks.

Emotions like greed and fear are important players in this. When times are good, investors sometimes forget about the risks and concentrate only on the potential benefits. When times are unfavourable, a period of confusion and fear can trigger ‘panic sell’.

Behavioural studies suggests that investor-decisions are not necessarily rational. Instead, they are driven by psychological biases and are also influenced by the emotions, which dictates the decisions they make. There are many people who want to follow others because they think that others know more. During uncertainty, this habit can make investors lose confidence in themselves to make the right decisions (Kahneman & Tversky, 1979).

4.2 Social media and ‘Finfluencers’.

‘Fin-fluencers’ or financial influencers regularly share stock picks, opinions on the markets and the ‘success stories’ for very large audience base. While they increase overall awareness on markets and investment, they can also increase collective investments which can contribute to rapid fluctuations in the market. Investors may act on these analysis videos without making proper independent investigation. This can lead to price volatility.

4.3 Information and Past Experience are lacking

This lack of information is another major contributor to herd behaviour, just as the limited experience of retail investors. Many people that enter stock markets are first-timers and unable to make a proper judgment on financial statements, industry trends or company valuation. When all seems unknown, they observe what other investors are doing.

5. THE VOLATILITY RESPONSE TO CROWD- LIKE STOCK MARKETS DECISIONS

5.1 Short-Term Price Fluctuations

When sentiment turns sour in the market, investors tend to act in unison by capping on their investments. Anxiety and doubt can take hold rapidly and it can result in significant declines in share prices. Because similar market signals are being closely observed by many retail investors, their actions tend to take place around the same time, aggravating rolling waves.

Here, an informational cascade phenomenon can be helpful. This mechanism explains how individuals can stop making their own decision and follow others if they believe that others possess more information. Such action can drive prices away from their intrinsic values and lead to excess volatility in financial markets (Bikhchandani, Hirshleifer, & Welch, 1992).

5.2 Small-Cap and Mid-Cap Stocks

The herd behaviour is sometimes more pronounced within smaller cap stocks and mid-cap stocks. These companies have smaller volume traded compared with the larger companies and are not as well known to institutional investors. So, retail investors make up a more significant percentage of the trading flow in those segments.

If a lot of retail investors start to focus on a particular small-cap stock, its price can go up dramatically, despite minimal changes to the underlying fundamentals. Investors might be tempted to join even more if they feel a positive attitude and a promise of fast gains of additional valuations their way. Then, again, the same stocks can be quite vulnerable to reduced selling activity when the market turns mean.

Additionally, many studies indicate that herd behaviour increases in times of stress or extreme price movements. When things are uncertain, people are more inclined to follow the herd. This means that the markets can begin to move unpredictably (Chang, Cheng, & Khorana, 1999).

5.3 Concept of speculative bubbles and market corrections

When it comes to ‘herd mentality’, one of its more serious side effects is its ability to generate supposedly monumental ‘bubbles’ in minutes. The idea is that when investors become so optimistic that they arcuan continue to invest funds in an asset just because all the other investors are getting in on the act, they can end up investing more than what their actual basic value should support and so these bubbles are usually fuelled by things people are expecting to see in the future and not necessarily enhancements within the underlying businesses.

Indian markets have witnessed a lot of features and frenzies in particular sectors in the past few years, some IPOs and even some particular stocks. Social media brings hopeful stories to trade companies on the basis of a rapid near-term profit, rather than examining a business’ basics. In such times, the price-bursts begin to lose meaning and creates an illusion that something good is coming and so, the people further join the herd.

Speculative bubbles, however, do not stay for long and are usually expected to burst. They are usually preceded by corrections in the market. When expectations change and negative information comes in, many investors start selling. Since many people do this about the same time as each other, the fall in price can occur rapidly. This causes volatility and creates losses for late traders. Instability can also accelerate the slide, this time multiplied by panic selling in the market which further expands instability.

That herd behaviour is not necessarily a bad thing but when these investors are optimistic, it can facilitate market liquidity and even increase the participation of market players. But at times, when the herding becomes too heavy, it can also lead to a distortion of price discovery, which in turn might lead to mis-pricing in financial markets. In those cases, stock prices often end up driven by emotions and general market sentiment more than by the usual economic fundamentals.

6. OTHER FACTORS THAT AFFECT THE STOCK MARKET TRENDS

6.1 Institutional Investors and Foreign Capital Flows

The trading volume in the Indian financial markets is huge and includes mutual funds, insurance companies, banks and foreign institutional investors. The investment options that they choose typically demand large-scale resources because their purchases and sales can noticeably shift stock prices.

Foreign institutional investors are also important in this discussion as their capital inflows and outflows can really affect the market liquidity and the investors' mood, although often not immediately apparent. During periods of favourable sentiment, they can be expected to purchase more of emerging market stocks and contribute to their stock prices but when doubt starts to settle, they might pull their money out quite quickly.

Domestic institutional investors also are important but for a different reason. Mutual Funds and insurance companies periodically reassess their portfolios according to the expectations that they have from the market movements and the economic changes that indicate them.

There's an efficient market hypothesis which states that prices adjust to new information quickly. This implies that volatility is more than just an investor-psychology issue, since it is also related to the changes in investor's expectations with regard to the fundamentals of the economy (Fama, 1970). In fact, the overall market swings are generally a reflection of combined response from retail investors and institutional investors, rather than retail investors alone.

6.2 The Global and Macroeconomic conditions

Macro-economic factors like economic growth, interest rates, exchange rates, inflation and monetary policy really affect investor expectations and might even impact corporate profitability. If any of these changes occur, they can also feed into the prices of other sectors in the economy, although the locus of change might be somewhere else.

Any change in interest rates by central banks is likely to affect markets regularly. If interest rates increase, businesses have to pay higher interest on loans and it could reduce business profits, which could also reduce investment spending. This can cause the share value to spiral downwards rapidly. Rising inflation also tends to add uncertainty into predicting future economic growth and can be a dig at investor sentiment as well. This can reduce trust in market.

Uncertainty in markets across the world can be a consequence of geopolitical conflicts, wars, pandemics and financial crises. The onset of Covid-19, for instance, caused notable disruptions in economic activities and resulted in very volatile movements in markets all over the world. Financial markets are also interconnected. Other countries are supposed to resonate with the happenings of a country. So, the volatility in the Indian stock market is not only led by retail investors' decision-making and also affected by general economic developments and global events.

6.3 Given corporate fundamentals, what were market expectations?

Ultimately, stock prices are moved by companies' growth and what investors think is the future. They decide whether or not to buy inventory or even continue to hold it. In good times with a positive outlook, investor confidence in the stocks is increased and vice versa.

A large part of how investors react is based on the actual performance and what they expect to see in future. This may cause a stock to go into either be bullish or bearish without there being an actual growth or decline in the company's performance. When events like mergers and acquisitions occur, new products arise or when management changes, there are changes in customer expectations and the data on behavioural finance data suggests that investors might overact in response.

They sometimes get carried away by new market updates. This can lead to short-term mispricing and more significant fluctuation in share prices than necessary. Investors may become over optimistic when they're in a good period or over pessimistic when they're in a bad period. In that way, prices drift away from their basic and fundamental values. Such behavioural patterns affect the more general economic climate and become part of market turbulence (Barberis, Shleifer, & Vishny, 1998).

7. EMPIRICAL EVIDENCE AND INDIAN CASE-STUDIES

7.1 COVID-19 and Retail Investing Boom

The COVID-19 was a landmark event for retailers in the Indian stock market. It was during the lockdown that many people learnt investing due to reduced economic activities. Digital technology expanded. It became easy to access online trading platforms, funds with low interest rates and millions of new investors opened up their demat accounts.

Perks of an increase in participation coincided with market's robust recovery from the initial bear market during early 2020. With the stocks recovering, many investors were attracted to stories of quick money-making opportunities. Optimism flourished on social media and online communities as well. Participation continued to rise in some cases, it appeared to be nothing but temporary thrill that guided the investment decisions.

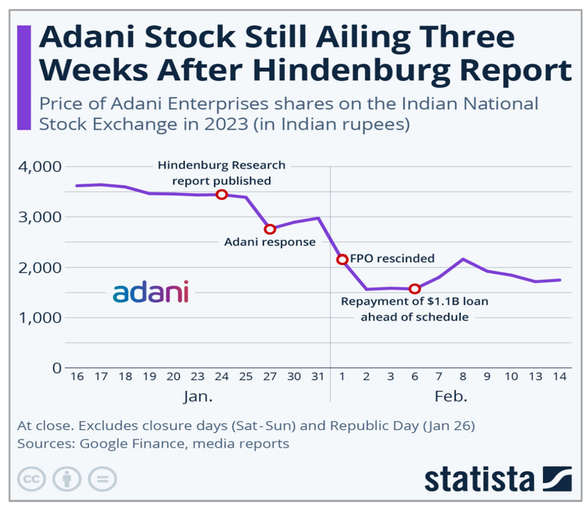
Herd behaviour gets stronger when there is uncertainty or extremity in behaviour involved. That means that when information is incomplete, investors go by instincts and only make informed choices when information is coherent. This behaviour may provide some explanation for the causes of volatility increases and for sharper price changes in stressful times (Caporale, Economou, & Philippas, 2008).

How quickly the investor sentiments can shift and begin influencing stock prices has been observed during the pandemic. Despite some later resurgence in economic fundamentals, the sudden seemingly collective conduct during this transitional period did indicate the rising significance of retail involvement to a certain degree.

7.2 The Adani-Hindenburg Episode

In 2023, India witnessed an event that made market volatility a stark reality; the Adani-Hindenburg affair. The shareholders of several companies in the Adani group took a hit following the major plummeting of their stock price when they published their allegations with the Hindenburg Research. Investor confidence became more brittle; and with all of the heads ups of what can happen next with the force of this group, I would say the market continued to go through noticeable changes.

The figure below shows how Adani Enterprise's share price dropped steep after the Hindenburg report came out. This report left people feeling negative and many responded in that manner. This made the market extremely volatile and was un-rewarding. This resulted in an appreciable drop in the Share price of Adani Enterprises.



Source: Google Finance and media reports, reproduced from Statista, 2023.

This episode highlighted that sentiment and information cannot sit around in the background as they impact decisions and actions. Negative news caused panic in the market with wide sell-offs and increased volatility. Many retail investors reacted immediately and the social media panic which spread intensified the situation even more.

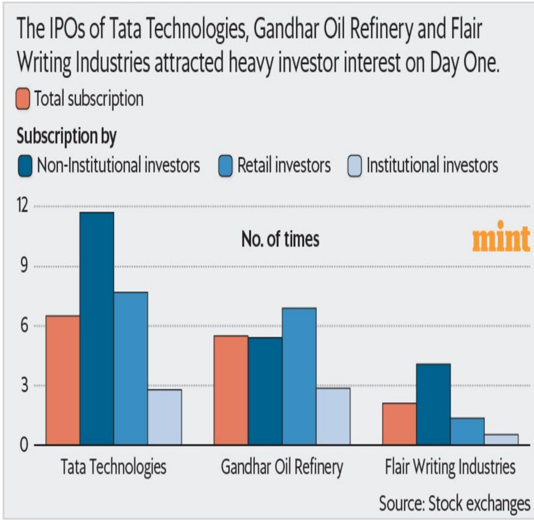
Nonetheless, it was neither just about retail or mood. Many other factors like institutional investors and the broader market were also important but it was clear from the event that in-effect, group reactions can magnify price fluctuations. The speedy circulation of information along with emotional reactions added up to higher uncertainty and bigger swings in stock prices.

The entire experience has taught me the importance of the quality of information. In today's financial markets, investors get overloaded with huge amounts of information via digital platforms all the time. This flow of information can push expectations around and drive investment decision-making moves before one can actually conceive true facts. For this reason, the 'sentiment' or 'mood' of the market can lead to volatility, even when the numbers aren't moving significantly.

7.3 IPOs and the Small-Cap Rally

Recently, there has been a fresh wave of IPOs and small caps in market. Some IPO attract a large percentage of retail participation where people subscri be early and reap profits when the stock begins trading. It seems that the concept of quick profits is given more importance than the longer-term fundamentals of the companies.

The figure below illustrates the performance of some of the companies that released their IPOs in 2023. A lot of casual investors became interested in buying stocks and this caused the oversubscription of stocks.



Source: Stock exchanges, reproduced from Mint, 2023.

Meanwhile, retail investors flocked to buy the small-cap and mid-cap stocks. So, when prices rise, it fuels optimism and it basically encourages more purchases, which leads to further increases in valuation. This kind of momentum-chasing is shaped by what other investors are doing, rather than by some independent analysis, or a careful appraisal of value.

It has been observed that herding appears in many worldwide stock markets and that it is more pronounced in the moments of extreme optimism or pessimism. Investors tend to follow the crowd and imitate other investors when times are uncertain and when information is fragmentary or insufficient (Chiang & Zheng, 2010).

However, when a market has been too positive for too long, it will inevitably be followed by corrections. When the expectations change and negative information begins to appear, many investors relax their holdings which triggers a sharp decline in prices. These corrections illustrate how synced actions can fuel volatility.

8. CHALLENGES AND REGULATORY CONCERNS

8.1 Risks of Excessive Herding

An issue with herd behaviour is that it may cause speculative bubbles and sudden corrections. In a situation where investors chase short term gains with little regard for their stock fundamentals, stock prices can rise to unsustainable levels. In such conditions, one begins to create unrealistic expectations which like a magnet, attract more investors to step in.

There are also real risks attached with individual frequent trading. Many people happen to believe that continued trading in stocks of all types can lead to improved performance. However, research has also shown that excessive trading can kill performance, as emotions and overconfidence take over. Investors who trade more frequently tend to have lower investment returns than those with a long-term plan (Barber & Odean, 2000).

Thus, herd mentality does not just de-stabilize the market but can also reduce retail investor's profits subtly.

8.2 Misinformation and the role of Finfluencers

With the rapid growth of social media platforms, it is now very easy to find investment related-content on platforms such like YouTube, Telegram, Instagram and WhatsApp etc. This has simultaneously contributed to the spread of awareness and misinformation about financial markets.

Financial influencers (or fin-fluencers) are watched by millions of people. Their ideas are sometimes guided by stern analysis but sometimes, by the motive of gaining views and likes. Social media at large is an extremely influential platform which can drive the herd mentality and attract investors towards speculative trading.

Investors may also base their investments on latest market trends without conducting their own thorough research. This can give birth to rumours and incorrect information. Additionally, the speed at which info is moving through digital channels is so rapid that market actions can take place prior to the reality of the facts being fully verified.

These concerns have led to improved regulations across the globe, focusing more on digital-financial literacy and investor protection. What is most important in today's financial markets is transparency.

8.3 Awareness of Investors about the Stock Market

Increasing financial education is one of the most successful ways to negate the impacts of herd mentality. Those with greater financial knowledge are generally more careful towards the potential dangers of stock market and are also more likely to rely on structured analysis than simply following the crowd. In case of diversification, risk management and long-term investing, this knowledge can help individuals make more informed decisions as opposed to taking an impulsive last-second decision.

Overconfidence, fear of missing out and excessive optimism are some of the behavioural biases that may lead to a deceptively "good" investment. Psychological biases affect investors' decision-making and are said to influence final investment outcomes from research in behavioural finance (Kumar and Goyal, 2016). Identifying these biases early-on can help investors avoid making emotional financial decisions.

There is a growing need of educating investors to help 'tame' the markets and improve communications between the market players. Such educational programs and initiatives can stimulate people to think and adopt financial stability and long-term strategies over short-term gain and gambling.

Overall, regulation and financial education should accompany stock market investments. While regulators have the ability to establish guidelines that protect them and help them maintain market integrity, individuals must gain knowledge and self-control that will aid in making rational investment decisions. As the trend of retail trading grows in India, it is furthermore crucial to increase investor awareness, mitigate the negative impact of herd mentality and contribute to sustainable growth capital market growth.

9. CONCLUSION

This essay studies the role played by the herd mentality of retail investors on the Indian stock trading apps like Zerodha and Groww. As more retail traders are entering e-trading, easier access to the markets, investor psychology and behavioural bias are becoming helpful in predicting market moves.

The herd mentality often comes with FOMO, impact of social media and the absence of trading experience and investing in stocks which lead to erratic and short-term price swings. It also shows how speculative bubbles and drastic market correction can occur. Some other examples can be the investing craze around COVID-19, IPO frenzy in the current market and extended channels of excessively positive sentiment towards small-cap stocks. Majority of stock decisions heading in the same direction can make the market increasingly volatile.

However, the retail-investor volatility is not always predictable. Various factors like institutional investment, foreign flows of capital, corporate fundamentals and world events etc. are all important in the determination of market outcomes. In India, herd behaviour is one among many contributing factors to volatility in its dynamic and complex market.

Herd mentality depicted by the retail investors on Zerodha, Groww etc. are surely responsible for high volatility in the stock market but that is not the only factor and generally, not the primary factor. Market volatility is a consequence of investor sentiments, economics and other financial conditions. Hence, one positive aspect of the herd mentality in Indian capital markets in the long run is its emphasis on the responsible investment behaviour and improved financial awareness of individual investors.

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